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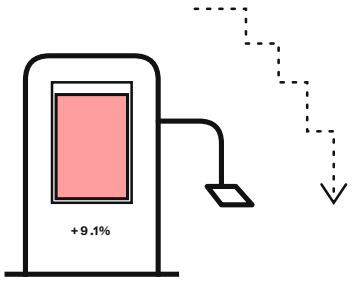
MORNING NOTE · MARKETS

No. 01
MONDAY, OCTOBER 19, 2026

Hot inflation, lower yields.

CPI and PPI both ran hot, and Treasury yields still fell on the week. Gasoline did most of the inflating and a tech sell-off did most of the buying. The Fed went quiet on Saturday, ten days before it meets.

As of Oct. 19, 2026 · About a 6-minute read



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EDITION Morning Note · Markets, every weekday

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FRONT PAGE · RATES

Two hot prints, and the curve rallied anyway.

The 10-year Treasury yield ended Friday, Oct. 16 at 5.09% in the Treasury's 3:30 p.m. ET par curve, a basis point under Thursday and 15 basis points under the 5.24% of a week earlier. The two-year finished at 4.74%, down three on the day and six on the week; the 30-year held at 5.43%, 17 basis points below the prior Friday's 5.60%. It came in a week that should, on the data alone, have gone the other way.

U.S. Treasury

The curve, Friday against a week earlier Treasury par yields, 3:30 p.m. ET quotes

Oct. 16		Oct. 9	
2-year	4.74%	2-year	4.80%
10-year	5.09%	10-year	5.24%
30-year	5.43%	30-year	5.60%

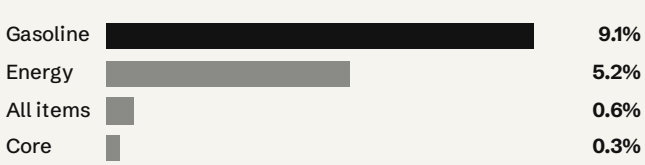
All three tenors ended the week lower; the long end fell most.

U.S. Treasury

The data were hot. September's consumer price index, out Wednesday, Oct. 14, rose 0.6% on the month and 3.7% over the year, up from 3.4% in August. Gasoline rose 9.1% in the month and accounted for over half the monthly increase; the energy index is up 20.4% over 12 months. Core prices rose 0.3%, the same as August, and 2.6% over the year. Thursday's producer price index was hotter still: final demand up 1.3% in September and 6.3% over the year, with energy goods up 10.8% in the month and the measure that strips out food, energy and trade services up 0.5%.

BLS CPI · BLS PPI

What made September's CPI Change in the month, seasonally adjusted



Gasoline accounted for over half of the all-items increase. Core rose 0.3% for a second month.

BLS CPI

Yields fell despite both. The likelier reading, by this issue's arithmetic, is that the market separated the number from the cause. The pump drove the headline while the core sat still: core held at 0.3% for a second month. At the same time the stock market sold its biggest names: the S&P 500 lost 1.1% on Friday and the Nasdaq 2.1%, its worst week since June, as AP's market report put it, with chipmakers leading. This issue's reading is that money leaving technology shares went looking for a safer place to sit, and a 10-year above 5% was it.

BLS CPI · AP via The Business Journal

The Fed is the other half of the story. The committee raised its target range a quarter point in September, to 3.75% to 4.00%, which AP notes was its first increase in three years; the effective rate printed 3.88% on Thursday. Traders expect no change at the Oct. 27–28 meeting. What moved this week was December: AP, citing CME Group data, puts the odds of a December increase at 74.3%, up from 50.2% a month earlier. Chair Kevin Warsh, in Bangkok for a meeting of financial leaders, gave no new signal, and as of Saturday he cannot: the committee's blackout began at midnight on Oct. 17 and runs to the end of Oct. 29.

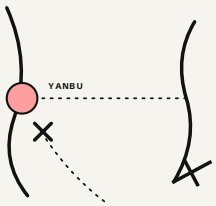
FOMC statement · New York Fed · AP via The Business Journal · FOMC communications policy

Oil is why the pump matters. Brent for December settled at $109.86 a barrel on Friday, up $3.94 or 3.7%, and briefly touched $110 for the first time since May; November WTI settled at $101.41, up $3.44. The Saudi-led coalition said it had intercepted a ballistic missile aimed at Yanbu, the Red Sea port through which the kingdom exports crude without passing the Strait of

Xinhua via The Star · Reuters via GMA News · AP via The Business Journal

Hormuz, which Reuters reports Iran has largely throttled since February. The national average for gasoline stood at $4.33 a gallon, per AAA, against $3.06 a year ago.

The route around the strait



Yanbu lets Saudi crude reach the sea without the Strait of Hormuz. A missile aimed there, even one shot down, is a threat to the bypass.

Reuters via GMA News

For today, the question is whether Friday's split holds. If oil stays above $100 through the month, headline inflation keeps running ahead of core and the December pricing has room to rise further; if the stock sell-off deepens, the bid for Treasuries can outlast the inflation prints for a while, as it did last week. Either way the Fed is silent for the next 11 days, so the data and the auctions do the talking: housing starts on Tuesday, a 20-year bond on Wednesday, and 13- and 26-week bills this morning.

Treasury auction schedule · Census calendar · FOMC communications policy

TODAY'S NUMBERS

The tape before the open

As of the Friday, Oct. 16 close unless shown; Treasury yields are the 3:30 p.m. ET par curve

MARKET	LEVEL	CHANGE	AS OF · SOURCE
2-year Treasury	4.74%	-3 bp	3:30 p.m. ET, Oct. 16 · U.S. Treasury
10-year Treasury	5.09%	-1 bp	3:30 p.m. ET, Oct. 16 · U.S. Treasury
30-year Treasury	5.43%	unch.	3:30 p.m. ET, Oct. 16 · U.S. Treasury
2s10s spread	35 bp	+2 bp	3:30 p.m. ET, Oct. 16 · U.S. Treasury
Fed funds effective	3.88%	unch.	Oct. 15, published Oct. 16 · New York Fed
EUR/USD	1.1253	+0.0045	ECB reference rate, Oct. 16 · ECB
Brent crude, Dec.	$109.86	+$3.94	Settlement, Oct. 16 · Xinhua via The Star
WTI crude, Nov.	$101.41	+$3.44	Settlement, Oct. 16 · Xinhua via The Star
Gold	$4,168	+$21	9:05 a.m. ET, Oct. 16 · Fortune
Nikkei 225	64,916.70	-0.62%	Tokyo close, Oct. 19 (2:30 a.m. ET) · Nikkei · JPX

Fed funds effective is Thursday's print. Gold is a morning quote, not a settlement; no public primary page carried a Friday close. There is no dollar index row because no public primary source publishes one; the ECB's euro rate stands in. The Nikkei change is against Friday's close of 65,324.29.

The morning in four

1 · RATES

The long end led the week's rally.

The 30-year fell 17 basis points on the week to 5.43% and the 10-year 15 to 5.09%, while the two-year gave up six. The 2s10s spread widened two basis points to 35 on Friday.

U.S. Treasury

2 · CREDIT

AI borrowing gets repriced.

Reuters reports insuring CoreWeave's roughly $50 billion of debt now costs about 1,000 basis points, a near 63% five-year default probability by LSEG's data, up from about 30% a year ago.

Reuters via WSAU

3 · ECONOMY

Spending and output held up.

September retail and food services sales rose 0.8% on the month and 6.3% on the year; gasoline stations were up 28.1% on the year. Industrial production rose 0.7% and capacity utilization hit 76.9%.

Census Bureau · Federal Reserve G.17

4 · WORLD

Tokyo lower, the euro firmer.

The Nikkei 225 closed Monday at 64,916.70, off 0.62% from Friday. The euro's ECB reference rate rose to $1.1253 on Friday from $1.1208.

Nikkei · ECB

THE DAY AHEAD · MONDAY, OCT. 19

What to watch

MON 10/19

Treasury sells 13- and 26-week bills

Both were announced Thursday, Oct. 15 and settle Thursday, Oct. 22. With the front end at 4.26% for three months, the bill stop-outs are the cleanest read on where cash wants to sit before the meeting.

MON 10/19

No Fed speakers: the blackout is on

The committee's rule starts the quiet period at 12:00 a.m. ET on the second Saturday before a meeting and ends it at 11:59 p.m. the day after. For the Oct. 27–28 meeting that is Oct. 17 through Oct. 29.

TUE 10/20

Housing starts and permits, 8:30 a.m. ET

September's new residential construction report from the Census Bureau: a read on how a 10-year above 5% is reaching builders and buyers.

WED 10/21

20-year bond auction

Announced Oct. 15, settles Oct. 23. The long end did the rallying last week; this is the first test of whether that demand shows up at a sale.

TUE–WED 10/27–28

FOMC meeting, no projections

The October meeting carries no Summary of Economic Projections; the next one with projections is Dec. 8–9.

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